

26 Financial product and benefit scheme risks

4 primary questions | Oldest to newest

2026 objectives: 3.3.2-3.3.4

24 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in index.html.

Click a question below to begin.

CA1-P2 April 2008 Q3	13 marks
CA1-P2 September 2008 Q7	24 marks
CA1-P2 April 2014 Q5	14 marks
CA1-P2 September 2014 Q2	11 marks

CA1-P2 | April 2008 | Q3

Current topic | 13 marks total | Original PDF p2

Related: Ch 29.

- 3** A large company has sponsored a funded defined benefit pension scheme for many years. Fifteen years ago the scheme was closed to new members, and also to future accrual of pensionable service for existing members.

The scheme now has a small number of members still employed by the company, but several thousand members either with pensions in payment or with deferred pensions expressed in terms of an annual amount that increases with inflation both in deferment and in payment.

- (i) Describe the risks that the company faces in continuing to sponsor the defined benefit scheme. [6]

It has been suggested that the company could transfer the risks relating to pensioners and deferred pensioners to an insurance company who would issue them with individual policies that will guarantee the benefits to which they are currently entitled under the scheme.

- (ii) Discuss the advantages and disadvantages of this suggestion from the viewpoint of the company. [7]

[Total 13]

CA1-P2 | September 2008 | Q7

Current topic | 24 marks total | Original PDF p4

Related: Ch 23, Ch 29.

- 7** An individual is considering various methods of providing nursing home care for his widowed mother in the event that she needs residential nursing care in old age. He is the sole beneficiary of his mother's will. Apart from her home, which she owns, his mother has no savings and only receives a small pension.

He is considering the following options:

- (a) Agree with his mother that her home is sold when the need for care commences, and the sale proceeds are then used to cover the care costs.
- (b) Purchase a single premium insurance policy now, which pays a fixed lump sum when the need for residential care arises.
- (c) Purchase a regular premium insurance policy that pays a level annuity throughout the remaining life of his mother; premiums are payable for ten years or until the annuity commences if earlier; the annuity commences when his mother fails to be able to perform certain specified activities of daily living, for example being unable to wash or dress herself.
- (d) Purchase a single premium insurance policy that will cover the full cost of nursing home fees.
- (e) Purchase a single premium insurance policy that will cover the full cost of nursing home fees after the first two years in the home.

The individual has sufficient capital available to follow any of the above options.

- (i) Describe the risks avoided and accepted by the individual, and the risks transferred to the insurance company, for each option being considered. [16]
 - (ii) Outline the issues the insurance company will need to consider when pricing the insurance risk for each of the various insurance policies described in (b) to (e) above. You do not need to consider investment or expense risks. [8]
- [Total 24]

CA1-P2 | April 2014 | Q5

Current topic | 14 marks total | Original PDF p2

Related: Ch 27.

5 (i) Define an insurable risk. [2]

A general insurance company only writes travel insurance.

(ii) Discuss the areas of risk and uncertainty inherent in the claims experience of this insurance company. [7]

(iii) Discuss how pooling of risks could help the insurance company. [5]

[Total 14]

CA1-P2 | September 2014 | Q2

Current topic | 11 marks total | Original PDF p2

Related: Ch 30.

- 2** An insurance company has been writing a high volume of conventional motor insurance for a number of years.

In recent years, there has been a substantial increase in journeys made by trucks transporting heavy machinery along cross-country routes to remote locations. There are currently over twenty such routes/locations. The trend is expected to continue in future.

The insurance company has decided to develop an insurance product specifically targetted at this market, to provide cover if a truck breaks down or has an accident. The insurance cover will pay for repairs at the roadside or, if this is not possible, it will pay for the truck to be taken to an approved repair centre.

- (i) Outline the risks this new product could introduce for the insurance company. [6]
 - (ii) Discuss the extent to which some of these risks could have their impact reduced through diversification or through alteration of policy terms. [5]
- [Total 11]